

# Texas Mortgage Loan Officer 5-Day Training Study Guide

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## Purpose

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This guide is written as if a Texas mortgage loan company has hired you into a five-day intensive training program with two goals:

1. Pass the SAFE Mortgage Loan Originator Test with Uniform State Content.
2. Begin working in the field with the judgment, habits, and compliance awareness expected from a new MLO.

It is not legal advice and does not replace company policy, investor guidelines, state rules, federal regulations, or NMLS-approved education. Use it as a practical study and field-readiness guide.

Primary reference anchors checked May 25, 2026:

- NMLS SAFE MLO National Test with Uniform State Test Content Outline:  
[https://mortgage.nationwidelicensingsystem.org/knowledge/Products/nmls/pubs/testingHbk/education/mlo\\_testing/mlo\\_test\\_faq/mlo\\_testing\\_hbk\\_testOutline.html](https://mortgage.nationwidelicensingsystem.org/knowledge/Products/nmls/pubs/testingHbk/education/mlo_testing/mlo_test_faq/mlo_testing_hbk_testOutline.html)
- NMLS Preparing for the Test:  
[https://mortgage.nationwidelicensingsystem.org/knowledge/Products/nmls/pubs/testingHbk/education/mlo\\_testing/mlo\\_test\\_guide/mlo\\_testing\\_hbk\\_testprep.html](https://mortgage.nationwidelicensingsystem.org/knowledge/Products/nmls/pubs/testingHbk/education/mlo_testing/mlo_test_guide/mlo_testing_hbk_testprep.html)
- Texas SML Mortgage Origination Laws and Regulations: <https://www.sml.texas.gov/mortgage-origination/laws/>
- Texas SML Mortgage Origination FAQs: <https://www.sml.texas.gov/mortgage-origination/faqs/>
- Texas OCCC Residential Mortgage Loan Originators: <https://occc.texas.gov/industry/RMLOs>

## Five-Day Company Training Plan

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### Day 1 - The Job, the Exam, and the Compliance Mindset

Training outcome:

- Understand what an MLO does.
- Understand how the exam is weighted.
- Learn the difference between sales activity and licensed mortgage origination activity.
- Build the habit of truthful, documented, consumer-first loan work.

Study focus:

- Chapter 1: Role, license, NMLS, company expectations.
- Chapter 2: Federal law framework.

Field focus:

- Shadow intake calls.
- Listen for how experienced MLOs ask questions without steering, guessing, or overpromising.
- Practice explaining what you can and cannot say before a completed application.

End-of-day checkpoint:

- Explain the MLO definition from memory.
- Explain why NMLS ID, sponsorship, active license status, and company policy matter.
- Recite the NMLS content areas and weights.

### Day 2 - Federal Laws and Disclosure Timing

Training outcome:

- Know the federal law map well enough to survive scenario questions.
- Identify disclosure triggers, timing clocks, prohibited conduct, and consumer protections.

Study focus:

- Chapter 2 in depth.
- TRID, RESPA, TILA, ECOA, FCRA, HMDA, GLBA, UDAP, and advertising rules.

Field focus:

- Review sample Loan Estimates and Closing Disclosures.
- Practice identifying when a fee can change and when it cannot.
- Learn to slow down whenever a borrower, agent, or referral partner asks for a shortcut.

End-of-day checkpoint:

- Recite the six TRID application items.

- Explain Loan Estimate and Closing Disclosure timing.
- Explain RESPA Section 8 in plain English.
- Explain ECOA protected classes and adverse action basics.

## Day 3 - Mortgage Products, Underwriting, and Texas

Training outcome:

- Understand the major loan products and how product features affect borrower suitability.
- Recognize Texas licensing and homestead issues at a practical level.

Study focus:

- Chapter 3: Mortgage products and general mortgage knowledge.
- Chapter 4: Texas and Uniform State Content.

Field focus:

- Compare FHA, VA, USDA, conventional, jumbo, HELOC, and refinance scenarios.
- Watch how veterans in the field match product to borrower need without pushing the borrower into the product that pays best or closes easiest.

End-of-day checkpoint:

- Explain fixed rate vs ARM.
- Explain FHA vs VA vs conventional at a basic level.
- Explain SML vs OCCC jurisdiction at a high level.
- Explain why Texas homestead lending deserves extra caution.

## Day 4 - Origination Workflow, Calculations, and File Quality

Training outcome:

- Understand the loan file from lead to closing.
- Build clean file habits before bad habits start.
- Master core calculations and documentation logic.

Study focus:

- Chapter 5: Loan origination workflow and calculations.
- LTV, CLTV, DTI, discount points, prepaid interest, cash to close, escrow, and rate/payment concepts.

Field focus:

- Practice borrower interviews.
- Build a mock loan file checklist.
- Calculate ratios by hand before relying on software.

End-of-day checkpoint:

- Calculate LTV, CLTV, front-end ratio, back-end DTI, and discount points.
- Explain what underwriters verify and why.
- Identify common documentation red flags.

## Day 5 - Ethics, Fraud, Exam Strategy, and First-90-Day Field Habits

Training outcome:

- Think like a compliant originator under pressure.
- Know what to do when a borrower, agent, referral source, or coworker asks for something improper.
- Enter the exam with a repeatable strategy.

Study focus:

- Chapter 6: Ethics, fraud, professionalism, and field survival.
- Mixed review across all six chapters.

Field focus:

- Role-play difficult conversations.
- Practice declining referral fees, refusing document manipulation, and escalating fraud concerns.
- Build a first-90-day plan.

End-of-day checkpoint:

- Explain steering, redlining, kickbacks, UDAAP, occupancy fraud, income fraud, straw buyer fraud, and appraisal pressure.
- Complete a 60-question mixed drill.

- Review only missed concepts on the final night.

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# Chapter 1 - The MLO Role, License, and Company Expectations

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## 1.1 What a Mortgage Loan Officer Actually Does

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A mortgage loan officer is not just a salesperson. The job sits at the intersection of consumer finance, compliance, documentation, relationship management, and risk control.

In the field, your daily work includes:

- Finding or receiving prospective borrower leads.
- Explaining loan options at a level the borrower can understand.
- Taking residential mortgage loan applications when properly licensed and sponsored.
- Collecting accurate borrower information.
- Disclosing terms and costs through the proper company channels.
- Coordinating with processors, underwriters, closers, appraisers, title companies, insurance agents, real estate agents, and referral partners.
- Avoiding discrimination, deception, steering, misrepresentation, and unearned compensation.
- Protecting private borrower information.
- Keeping clean records.

The exam will test the legal framework. The field will test whether you can apply that framework while people are impatient, emotional, financially stretched, or pushing for exceptions.

## 1.2 The SAFE Act Definition of an MLO

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The core MLO test concept:

An individual generally acts as a mortgage loan originator when they take a residential mortgage loan application and offer or negotiate residential mortgage loan terms for compensation or gain.

Break that down:

- "Takes an application" means receiving information from a consumer for a residential mortgage loan request.
- "Offers or negotiates terms" means discussing or presenting loan terms such as rate, loan amount, product, payment, or fees.
- "Compensation or gain" includes direct or indirect financial benefit.

Exam trap:

The exam may describe someone who says they are "just helping," "only doing it once," or "not calling themselves a loan officer." Do not focus on title. Focus on activity.

Field rule:

Do not perform licensed activity unless your license is active, you are properly sponsored, and your company has authorized you to act.

## 1.3 NMLS, Unique Identifier, and Sponsorship

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NMLS is the Nationwide Multistate Licensing System and Registry. It tracks MLOs, companies, licenses, registrations, testing, education, sponsorship, and enforcement history.

Your NMLS unique identifier is permanent. It follows you through your career.

Company expectation:

- Use the correct NMLS ID in required advertising and communications.
- Keep your NMLS record accurate.
- Notify compliance when required information changes.
- Do not use another person's identifier.
- Do not allow another person to use yours.

Veteran field guidance:

"Your NMLS ID is your professional fingerprint. Treat it like something you will have to defend later."

## 1.4 Active License vs Passing the Exam

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Passing the SAFE MLO test does not automatically mean you may originate loans.

You also need:

- Required pre-licensing education.
- Background check and fingerprints.
- Credit report authorization.
- State license approval.
- Sponsorship by an approved company when required.
- Company onboarding and authorization.

Exam trap:

If the question asks whether a person may originate after passing the exam but before license approval or sponsorship, the answer is usually no.

## 1.5 Exam Structure and Weighting

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NMLS content areas:

- Federal Mortgage Related Laws: 24%
- Uniform State Content: 11%
- General Mortgage Knowledge: 20%
- Mortgage Loan Origination Activities: 27%
- Ethics: 18%

Strategic takeaway:

Do not spend all your time memorizing product vocabulary while neglecting origination workflow, federal law, and ethics. The exam is scenario-heavy. It rewards judgment.

## 1.6 Company Mindset: Protect the Borrower, Protect the File, Protect the License

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A strong company trains new MLOs to think in this order:

1. Is this lawful and compliant?
2. Is this accurate and documented?
3. Is this in the borrower's interest and aligned with their stated goals?
4. Can the file survive underwriting, audit, complaint review, and regulator review?
5. Can I explain my recommendation without hiding anything?

If the answer is no, slow down.

## 1.7 What Veterans in the Field Will Tell You

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Experienced MLOs tend to repeat the same lessons:

- Never quote what you cannot support.
- Never guess on guidelines.
- Never coach false information.
- Never let a referral partner run your license.
- Never promise closing before underwriting has cleared conditions.
- Document conversations.
- Respect processors and underwriters; they often protect you from avoidable file problems.
- A fast bad file is worse than a slower clean file.
- If something feels off, escalate early.

## 1.8 Chapter 1 Exam Recall

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Know these cold:

- MLO definition.
- NMLS unique identifier.
- Sponsorship.
- Active license requirement.

- State vs federal registration distinction.
- Temporary authority concept.
- Exam content weights.

## 1.9 Chapter 1 Field Drill

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Practice answer:

"I can explain general loan concepts and help you understand the process. Once you provide the application information, we will follow the required disclosure and verification steps. I cannot guarantee approval, rate, payment, or closing until the file is properly reviewed under program and company requirements."

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# Chapter 2 - Federal Mortgage Laws and Consumer Protection

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## 2.1 How to Study Federal Laws

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Do not memorize laws as isolated definitions. For each law, know:

- Purpose.
- Implementing regulation.
- Who is protected.
- What conduct is required.
- What conduct is prohibited.
- Timing requirements.
- Common exam scenario.

The exam often gives a story and asks what the MLO, lender, creditor, broker, or servicer should do next.

## 2.2 RESPA / Regulation X

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RESPA: Real Estate Settlement Procedures Act.

Regulation X: 12 CFR Part 1024.

Purpose:

- Help consumers understand settlement costs.
- Eliminate kickbacks and referral fees that increase costs.
- Regulate certain escrow and servicing practices.

Core concepts:

- Federally related mortgage loan.
- Settlement service.
- Section 8 kickback prohibition.
- Affiliated Business Arrangement disclosures.
- Escrow account notices and statements.
- Servicing transfer notices.

RESPA Section 8:

You may not give or receive anything of value for the referral of settlement service business. You also may not split fees unless services were actually performed.

Exam trap:

"My title company friend gives me \$200 per closed loan for sending borrowers." This is a prohibited referral fee.

Compliant example:

A settlement provider may be paid reasonable compensation for actual services performed. Payment must not be a disguised referral fee.

Veteran field guidance:

"If the payment exists because of the referral, stop. If it exists because real work was performed at a reasonable value, document it and make sure compliance approves it."

## 2.3 TILA / Regulation Z

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TILA: Truth in Lending Act.

Regulation Z: 12 CFR Part 1026.

Purpose:

- Help consumers understand credit terms and costs.
- Standardize disclosure of finance charges, APR, payment schedules, and loan terms.
- Regulate certain high-risk mortgage products and loan originator compensation.

Core concepts:

- APR.
- Finance charge.
- Amount financed.
- Total of payments.
- Payment schedule.
- Right of rescission.
- High-cost mortgage rules under HOEPA.
- Higher-priced mortgage loan rules.
- Ability-to-repay and qualified mortgage standards.
- Loan originator compensation rules.

APR vs interest rate:

- Interest rate is the cost of borrowing principal.
- APR is a broader annualized cost of credit including certain fees.

Right of rescission:

For certain loans secured by the borrower's principal dwelling, the borrower may cancel within three business days after the latest of consummation, delivery of rescission notice, and delivery of required material disclosures.

Common purchase-money mortgage trap:

The right of rescission generally does not apply to a purchase-money mortgage.

Loan originator compensation:

Compensation generally cannot be based on loan terms or conditions. An MLO cannot be paid more because the borrower accepted a higher rate or less favorable terms.

Veteran field guidance:

"If your compensation would tempt you to recommend a worse loan, the rule is built to stop that."

## 2.4 TRID: Loan Estimate and Closing Disclosure

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TRID combines TILA and RESPA disclosure rules for most closed-end consumer mortgage loans.

Main forms:

- Loan Estimate.
- Closing Disclosure.

Six items that trigger an application:

1. Consumer's name.
2. Consumer's income.
3. Consumer's Social Security number to obtain a credit report.
4. Property address.
5. Estimated property value.
6. Mortgage loan amount sought.

Loan Estimate timing:

The Loan Estimate must generally be delivered or placed in the mail within three business days after receiving an application.

Closing Disclosure timing:

The borrower must receive the Closing Disclosure at least three specific business days before consummation.

Three changes that require a new three-day waiting period:

- APR becomes inaccurate.
- Loan product changes.
- Prepayment penalty is added.

Changed circumstance:

An event beyond control, new or inaccurate information, or borrower-requested change that affects charges or eligibility.

Exam trap:

A creditor cannot require verifying documents before providing the Loan Estimate.

Field habit:

Know the moment the six application items are received. That is when the clock starts.

## 2.5 ECOA / Regulation B

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ECOA: Equal Credit Opportunity Act.

Regulation B: 12 CFR Part 1002.

Purpose:

To prohibit discrimination in credit transactions.

Protected classes:

- Race.
- Color.
- Religion.
- National origin.
- Sex.
- Marital status.
- Age.
- Receipt of public assistance.
- Exercising rights under consumer credit protection laws.

Adverse action:

A denial, revocation, unfavorable change, or refusal to grant credit on substantially requested terms.

Adverse action notice:

Must identify the action and provide specific reasons or notice of the right to reasons, along with required ECOA notice and agency information.

Timing:

Usually within 30 days after receiving a completed application.

Field habit:

Ask questions based on loan eligibility, not personal assumptions. Do not treat borrowers differently because of protected characteristics.

Bad field question:

"Are you planning to have more children? That could affect your income."

Better field question:

"Is there anything about your employment or income that you already know will materially change?"

## 2.6 FCRA and FACTA

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FCRA: Fair Credit Reporting Act.

FACTA: Fair and Accurate Credit Transactions Act amendments.

Mortgage relevance:

- Permissible purpose for credit reports.
- Consumer authorization and credit report use.
- Adverse action tied to credit information.
- Identity theft protections.
- Fraud alerts.
- Risk-based pricing and credit score disclosures when applicable.

Field habit:

Never pull credit casually. Make sure there is permissible purpose and company-approved authorization.

## 2.7 HMDA / Regulation C

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HMDA: Home Mortgage Disclosure Act.

Regulation C: 12 CFR Part 1003.

Purpose:

- Help determine whether institutions serve housing needs.
- Help identify possible discriminatory lending patterns.
- Provide public mortgage data.

Field relevance:

Certain lenders collect demographic and loan data. If an applicant declines to provide race, ethnicity, or sex information in an in-person application, the lender may have to collect based on visual observation or surname.

Exam trap:

Do not force the borrower to answer demographic questions. Follow the rule and note refusal where appropriate.

## 2.8 GLBA Privacy and Safeguarding

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GLBA: Gramm-Leach-Bliley Act.

Mortgage relevance:

- Protect nonpublic personal information.
- Provide privacy notices where required.
- Safeguard borrower data.
- Limit improper sharing.

Field habits:

- Do not leave borrower documents exposed.
- Do not send sensitive data through unapproved channels.
- Do not discuss borrower details with unauthorized parties.
- Confirm identity before discussing loan details.

## 2.9 UDAAP

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UDAAP means unfair, deceptive, or abusive acts or practices.

Unfair:

Likely to cause substantial injury that consumers cannot reasonably avoid and is not outweighed by benefits.

Deceptive:

Likely to mislead a reasonable consumer and material to the consumer's decision.

Abusive:

Takes unreasonable advantage of consumer misunderstanding, lack of ability to protect interests, or reasonable reliance on the company.

Field examples:

- Advertising a payment without explaining required conditions.
- Implying government approval when none exists.
- Hiding fees until late in the process.
- Pushing a borrower into a loan they do not understand.

## 2.10 Advertising Rules

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Mortgage advertising must be truthful, clear, and not misleading.

High-risk advertising phrases:

- "Guaranteed approval."
- "No cost" when costs are financed or paid through rate.



- "Government loan" in a way that implies government endorsement.
- "Lowest rate" without support.
- Payment claims without taxes, insurance, mortgage insurance, term, APR, or conditions where required.

Field habit:

Before posting, ask:

- Is the claim true?
- Can we prove it?
- Are conditions clear?
- Is NMLS ID included where required?
- Does compliance need to approve it?

## 2.11 Chapter 2 Exam Recall

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Know these cold:

- RESPA Section 8.
- TRID six application items.
- Loan Estimate timing.
- Closing Disclosure timing.
- ECOA protected classes.
- Adverse action timing.
- TILA right of rescission.
- APR vs interest rate.
- FCRA permissible purpose.
- HMDA monitoring information.
- GLBA privacy.
- UDAAP.

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# Chapter 3 - General Mortgage Knowledge and Loan Products

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## 3.1 The Mortgage Loan as a Risk Structure

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Every mortgage loan has two sides:

- Borrower qualification risk.
- Property collateral risk.

Borrower qualification asks:

- Can this borrower repay?
- Is the income stable, likely to continue, and documented?
- Are assets sufficient and sourced?
- Is credit history acceptable?
- Are debts fully disclosed?
- Is occupancy accurate?

Property collateral asks:

- Is the property eligible?
- Is title acceptable?
- Is the value supported?
- Is insurance adequate?
- Are liens correctly prioritized?

## 3.2 Conventional Loans

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Conventional loans are not insured or guaranteed by a federal government agency.

Conforming conventional loans generally meet Fannie Mae or Freddie Mac requirements, including loan limits, underwriting standards, property eligibility, and documentation.

Common features:

- Strong credit and income documentation expectations.
- Private mortgage insurance may be required when LTV exceeds 80%.
- Pricing depends on credit score, LTV, occupancy, property type, and other risk factors.

Field use:

Conventional loans often fit borrowers with stable income, acceptable credit, and enough down payment or equity.

Exam distinction:

Conventional does not mean easier. It means not government-insured.

## 3.3 FHA Loans

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FHA loans are insured by the Federal Housing Administration.

Common features:

- More flexible credit profile than many conventional programs.
- Lower down payment options.
- Mortgage insurance is required.
- Property must meet FHA standards.
- Borrower and property must meet program requirements.

Field use:

FHA can be useful for borrowers with limited down payment or credit challenges, but mortgage insurance and property standards matter.

Veteran field guidance:

"FHA can save a deal, but do not ignore property condition. A weak property can kill the file."

## 3.4 VA Loans

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VA loans are guaranteed by the U.S. Department of Veterans Affairs for eligible veterans, service members, and certain surviving spouses.

Common features:

- Often no down payment.
- No monthly private mortgage insurance.
- VA funding fee may apply unless exempt.
- Eligibility must be documented.
- Property and appraisal requirements apply.

Field use:

VA loans can be powerful for eligible borrowers. Respect the benefit and explain it clearly.

Exam distinction:

VA guarantees part of the loan; it does not usually lend directly in standard transactions.

## 3.5 USDA Loans

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USDA rural housing loans support eligible borrowers and properties in eligible rural or designated areas.

Common features:

- Often no down payment.
- Income limits apply.
- Property eligibility matters.
- Guarantee fees may apply.

Field use:

USDA is location- and income-sensitive. Always verify property and borrower eligibility.

## 3.6 Jumbo and Nonconforming Loans

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Jumbo loans exceed conforming loan limits or otherwise fail to meet agency requirements.

Common features:

- Higher loan amounts.
- Stricter credit, reserves, and documentation.
- Pricing and guidelines vary by investor.

Field use:

Jumbo borrowers may have complex income, assets, entities, or property structures. Documentation discipline matters.

## 3.7 Fixed-Rate Mortgages

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A fixed-rate mortgage has an interest rate that remains the same for the life of the loan.

Strength:

- Payment predictability for principal and interest.

Risk:

- Initial rate may be higher than some ARM options.

Best fit:

Borrowers who value stability or plan to hold the property long enough for rate certainty to matter.

## 3.8 Adjustable-Rate Mortgages

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An ARM has an interest rate that can adjust after an initial fixed period.

Key ARM terms:

- Index.
- Margin.
- Initial rate.
- Adjustment period.
- Initial cap.
- Periodic cap.
- Lifetime cap.
- Floor.

Exam trap:

An ARM payment can rise. A borrower must understand adjustment risk.

Field habit:

Do not sell only the teaser payment. Explain future adjustment risk in plain language.

## 3.9 Balloon Mortgages

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A balloon mortgage has payments based on one structure but requires a large final payment at maturity.

Risk:

The borrower may need to refinance, sell, or pay a large amount later.

Exam view:

Balloon terms are higher risk and must be clearly understood.

## 3.10 Reverse Mortgages

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A reverse mortgage allows eligible older homeowners to access equity.

Common HECM concept:

Repayment is generally due when the borrower dies, sells, or no longer occupies the property as principal residence, subject to program rules.

Field caution:

Reverse mortgages involve special counseling, eligibility, and consumer protection concerns.

## 3.11 HELOCs and Home Equity Loans

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A HELOC is a revolving line of credit secured by the home.

A closed-end home equity loan provides a lump sum with repayment terms.

Texas caution:

Texas home equity lending has constitutional and statutory requirements. Do not improvise Texas home equity answers in the field; use company policy and legal/compliance resources.

## 3.12 Mortgage Insurance

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Mortgage insurance protects the lender or guarantor, not the borrower.

Types:

- Private mortgage insurance for certain conventional loans.
- FHA mortgage insurance premiums.
- USDA guarantee fees.
- VA funding fee is not mortgage insurance but is often compared in cost discussions.

Exam trap:

Borrowers may pay mortgage insurance, but the protection is for the lender/insurer structure.

## 3.13 Rate, Points, and Pricing

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Interest rate:

The note rate charged on the loan principal.

Discount points:

Prepaid interest paid upfront to reduce the interest rate. One point equals 1% of the loan amount.

Lender credit:

A credit from the lender often tied to accepting a higher rate, used to offset closing costs.

Field habit:

When comparing rates, discuss APR, cash to close, monthly payment, break-even period, and borrower goals.

## 3.14 Escrow Accounts

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Escrow accounts collect monthly amounts for property taxes, homeowners insurance, and sometimes mortgage insurance or other property-related charges.

Borrower issue:

Borrowers often confuse principal and interest payment with total housing payment. Always explain taxes, insurance, HOA dues, mortgage insurance, and escrow.

## 3.15 Chapter 3 Exam Recall

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Know these cold:

- Conventional vs FHA vs VA vs USDA.
  - Fixed vs ARM.
  - LTV and mortgage insurance.
  - Jumbo/nonconforming.
  - Reverse mortgage basics.
  - HELOC vs closed-end home equity.
  - Discount points.
  - Escrow.
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# Chapter 4 - Texas and Uniform State Content

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## 4.1 Uniform State Content

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The SAFE MLO test includes Uniform State Content. This section tests broad state-regulatory concepts rather than only Texas law.

Core themes:

- State licensing authority.
- License maintenance.
- Sponsorship and supervision.
- State regulator examination power.
- Recordkeeping.
- Advertising.
- Prohibited conduct.
- Disciplinary action.
- Surety bonds or financial responsibility where applicable.
- Reporting changes.

Exam strategy:

When you see a state-content question, identify:

- Who is acting?
- What activity are they performing?
- Are they compensated?
- Are they licensed, exempt, registered, sponsored, or unauthorized?
- What would a regulator expect?

## 4.2 Texas Regulatory Agencies

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Texas mortgage origination can involve two primary state agencies:

- Texas Department of Savings and Mortgage Lending, commonly SML.
- Texas Office of Consumer Credit Commissioner, commonly OCCC.

SML:

Regulates many residential mortgage loan companies, mortgage bankers, and residential mortgage loan originators.

OCCC:

Regulates certain residential mortgage loan originators connected to specific products or lending authorities, including certain secondary mortgage or home equity-related contexts listed by OCCC.

Field rule:

Do not guess agency jurisdiction. A company should know which license and sponsorship path applies to your role and products.

## 4.3 Texas Licensing Core

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Texas law generally requires an individual to be licensed when acting as an RMLO by taking an application or offering/negotiating residential mortgage loan terms for compensation or gain, unless an exemption applies.

Important Texas point from SML FAQs:

Texas does not allow an "occasional" or "one-off" loan origination without a license when licensing is required.

Exam trap:

Someone says, "I'm only helping a family friend one time and charging a small fee." If the activity requires a license and no exemption applies, the "one time" explanation does not save it.

## 4.4 Texas Law and Rule Anchors

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Important Texas references to recognize:

- Texas SAFE Act: Texas Finance Code Chapter 180.
- Mortgage Banker Registration and Residential Mortgage Loan Originator License Act: Texas Finance Code Chapter 157.

- Mortgage Company License Act: Texas Finance Code Chapter 156.
- Mortgage fraud-related provisions: Texas Finance Code Chapter 343 and related law.
- Texas Administrative Code Title 7, Chapter 55 for RMLO rules under SML.
- Texas Administrative Code Title 7, Chapter 56 for mortgage company rules under SML.

You do not need to memorize every section number for practical work, but you should recognize the legal framework and know where compliance gets authority.

## 4.5 Texas Homestead Caution

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Texas homestead lending is a major practical caution area.

Texas Constitution Article XVI, Section 50 is central to home equity and homestead lien rules.

Field guidance:

Never treat Texas home equity like a generic refinance. Texas rules can affect:

- Loan structure.
- Fees.
- Closing location.
- Timing.
- Required notices.
- Permitted lien types.
- Cure procedures.

Exam strategy:

If a question flags Texas home equity or homestead lending, choose the answer that slows down and follows specific Texas requirements.

## 4.6 State Regulator Powers

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State regulators may:

- Investigate.
- Examine records.
- Require reports.
- Issue orders.
- Suspend or revoke licenses.
- Impose fines or penalties.
- Refer matters for enforcement.

Field reality:

Assume anything in a loan file, CRM note, text, email, ad, or call recording could be reviewed later.

## 4.7 Recordkeeping

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State and company rules require mortgage records to be retained for required periods and made available for examination.

Good records show:

- What was represented.
- What was verified.
- What was disclosed.
- What changed.
- Why a decision or recommendation was made.
- Who approved exceptions.

Bad records create risk:

- Missing disclosures.
- Incomplete notes.
- Unexplained fee changes.
- Unsupported income calculations.
- Unclear borrower intent.
- Unapproved advertising.

Veteran field guidance:

"If it is not in the file, it is hard to prove it happened."

## 4.8 Advertising and NMLS in Texas

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Texas and federal expectations require truthful advertising and proper identification.

Practical advertising checklist:

- Company name is correct.
- Individual NMLS ID appears where required.
- Company NMLS ID appears where required.
- No misleading government affiliation.
- No unsupported rate/payment claims.
- Conditions are clear.
- Compliance approved when required.

High-risk posts:

- "I can get anyone approved."
- "No income needed."
- "Free refinance."
- "Government-backed cash out now."
- "Rates will never be this low again."

## 4.9 Chapter 4 Exam Recall

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Know these cold:

- SML vs OCCC.
- Texas RMLO activity trigger.
- No casual one-off origination if license required.
- Sponsorship and active status.
- State regulator exam/enforcement powers.
- Texas homestead caution.
- Advertising and NMLS ID requirements.

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# Chapter 5 - Loan Origination Workflow, File Quality, and Calculations

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## 5.1 The Loan Life Cycle

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A mortgage file typically moves through:

1. Lead or referral.
2. Initial conversation.
3. Application.
4. Credit authorization.
5. Disclosures.
6. Document collection.
7. Product selection.
8. Processing.
9. Appraisal and title.
10. Underwriting.
11. Conditional approval.
12. Clearing conditions.
13. Closing Disclosure.
14. Closing.
15. Funding.
16. Post-closing and servicing transfer if applicable.

Your job is not to personally do every step. Your job is to keep the borrower informed, keep the file honest, and keep the process moving.

## 5.2 Lead Intake vs Application

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Early inquiry:

A consumer asks general questions about rates, programs, or qualification.

Application:

For TRID purposes, the six pieces of information trigger application status.

Field habit:

Know when you cross from general conversation into application territory.

Safe early language:

"Based on what you are telling me generally, we can discuss possible options. Once you provide the application information and authorize the required steps, we will issue disclosures and verify the file."

## 5.3 The Borrower Interview

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Good borrower interviews are structured but human.

Core questions:

- What are you trying to accomplish?
- Purchase, refinance, cash-out, or home equity?
- Where is the property?
- Is it primary residence, second home, or investment?
- What is the estimated price or value?
- How much do you plan to put down or borrow?
- What is your employment situation?
- How are you paid?
- Any self-employment, commission, bonus, overtime, or variable income?
- What assets are available for down payment, closing costs, and reserves?
- Any recent large deposits?
- Any other properties owned?
- Any child support, alimony, installment debts, student loans, collections, judgments, liens, or tax debt?
- Any credit freezes, fraud alerts, or identity issues?
- Any timeline pressure?

Do not ask prohibited or irrelevant personal questions.

## 5.4 Documentation

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Typical borrower documentation may include:

- Pay stubs.
- W-2s.
- Tax returns.
- Bank statements.
- Asset statements.
- Photo ID.
- Purchase contract.
- Homeowners insurance information.
- Divorce decree or support documentation when relevant.
- Gift letters and donor evidence when allowed.
- Business documents for self-employed borrowers.

Field rule:

Collect what the program and company require. Do not collect sensitive documents without purpose.

## 5.5 Income Analysis

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Income must generally be stable, documented, and likely to continue.

Types:



- Base salary.
- Hourly.
- Overtime.
- Bonus.
- Commission.
- Self-employment.
- Retirement.
- Social Security.
- Disability.
- Rental income.
- Child support or alimony when borrower chooses to use it and documentation rules are met.

Exam trap:

Do not discriminate based on income source. Public assistance income cannot be discounted because it is public assistance.

Field habit:

Ask how the borrower is paid before assuming how income should be calculated.

## 5.6 Assets and Source of Funds

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Assets matter for:

- Down payment.
- Closing costs.
- Reserves.
- Cash to close.
- Compensating factors.

Watch for:

- Large unexplained deposits.
- Borrowed funds disguised as savings.
- Undocumented gifts.
- Business funds without proper analysis.
- Cash on hand.
- Transfers between accounts without paper trail.

Veteran field guidance:

"Money needs a story. If the story is weak, underwriting will ask."

## 5.7 Credit and Liabilities

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Credit review includes:

- Credit score.
- Payment history.
- Revolving debt.
- Installment debt.
- Student loans.
- Collections.
- Judgments.
- Liens.
- Bankruptcy.
- Foreclosure.
- Short sale.
- Disputed accounts.
- Authorized user accounts.

Field rule:

Do not tell a borrower to hide debt or dispute accurate debt just to manipulate the file.

## 5.8 Property, Appraisal, Title, and Insurance

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Property review includes:

- Appraisal/value.
- Property type.
- Occupancy.
- Condition.
- Title.
- Liens.
- Flood zone.
- Insurance.
- HOA.

Appraisal:

Independent opinion of value. Do not pressure appraisers.

Title:

Shows ownership and lien issues. Title defects can delay or prevent closing.

Flood insurance:

Required in certain flood hazard areas for covered loans.

Insurance:

Homeowners insurance must meet lender/investor requirements.

## 5.9 Underwriting

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Underwriting evaluates whether the loan meets credit, capacity, collateral, capital, and compliance standards.

Common underwriting conditions:

- Updated pay stub.
- Bank statement explanation.
- Letter of explanation.
- Verification of employment.
- Source of deposit.
- Appraisal repair.
- Title correction.
- Insurance update.
- Debt payoff evidence.
- Gift documentation.

Field habit:

Do not treat conditions as personal attacks. Conditions are risk questions.

## 5.10 Calculations

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### LTV

Formula:

Loan amount / property value = LTV.

Example:

\$240,000 loan / \$300,000 value = 80% LTV.

### CLTV

Formula:

Total liens / property value = CLTV.

Example:

\$240,000 first lien + \$30,000 second lien = \$270,000 total liens.

\$270,000 / \$300,000 = 90% CLTV.

## Front-End Ratio

Formula:

Proposed housing payment / gross monthly income.

Housing payment may include:

- Principal.
- Interest.
- Taxes.
- Insurance.
- Mortgage insurance.
- HOA dues where applicable.

## Back-End DTI

Formula:

Total monthly debt including housing / gross monthly income.

Monthly debt may include:

- Housing payment.
- Credit cards.
- Auto loans.
- Student loans.
- Installment loans.
- Child support.
- Alimony.
- Other required recurring obligations.

## Discount Points

Formula:

Loan amount x point percentage.

Example:

One point on \$250,000 = \$2,500.

## Daily Interest

Formula:

Principal x annual interest rate / 365 x number of days.

Example:

\$300,000 x 6.5% / 365 x 10 days = about \$534.25.

## Down Payment

Formula:

Purchase price - loan amount.

Example:

\$350,000 purchase - \$332,500 loan = \$17,500 down payment.

## Cash to Close

Cash to close includes down payment, closing costs, prepaid items, escrow setup, and credits/deposits.

Field habit:

Borrowers care about payment and cash to close. Explain both clearly.

## 5.11 File Quality Checklist

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Before sending a file forward, check:

- Borrower names match documents.
- Application data is complete.

- Occupancy is consistent.
- Income is documented.
- Assets are sourced.
- Credit liabilities are addressed.
- Property address is accurate.
- Purchase contract terms match system data.
- Disclosures were issued timely.
- Fees are accurate and tolerance rules are monitored.
- Notes explain unusual facts.
- No unapproved promises were made.

## 5.12 Chapter 5 Exam Recall

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Know these cold:

- Loan life cycle.
  - Application trigger.
  - Ability-to-repay factors.
  - Appraisal independence.
  - Title purpose.
  - Flood insurance trigger.
  - LTV, CLTV, DTI, points, prepaid interest.
  - Underwriting conditions.
- 

# Chapter 6 - Ethics, Fraud, Professionalism, and Field Survival

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## 6.1 Why Ethics Is Heavily Tested

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Ethics is 18% of the NMLS outline. It is also where real-world MLOs lose licenses, jobs, reputation, and money.

Ethics questions usually test whether you will:

- Tell the truth.
- Protect the consumer.
- Avoid conflicts.
- Refuse kickbacks.
- Avoid steering.
- Escalate suspicious activity.
- Respect fair lending.
- Document accurately.
- Follow law and company policy even under pressure.

## 6.2 Steering

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Steering means directing a borrower to a product or terms that are not in their interest because it benefits the MLO, company, or referral partner.

Example:

An MLO pushes a borrower into a higher-cost loan because the MLO prefers the compensation or because it helps close faster, even though the borrower qualifies for a better option.

Correct field behavior:

Present suitable options, explain tradeoffs, and document borrower choice.

## 6.3 Redlining

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Redlining means denying or limiting credit in certain neighborhoods or areas based on prohibited characteristics instead of legitimate credit risk.

Exam phrase:

Geography can become a fair-lending issue when it is a proxy for protected class treatment.

Field habit:

Market and serve consistently. Do not avoid areas or communities based on stereotypes.

## 6.4 Predatory Lending

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Predatory lending involves abusive terms or practices that exploit borrowers.

Examples:

- Equity stripping.
- Loan flipping without benefit.
- Hidden fees.
- Unaffordable loans.
- Misleading payment claims.
- Targeting vulnerable borrowers.

Correct field behavior:

Recommend based on documented borrower need and ability to repay.

## 6.5 Kickbacks and Unearned Fees

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Kickbacks are anything of value exchanged for settlement-service referrals.

Unearned fees are fees charged or split without actual services performed.

Examples:

- Real estate agent requests cash per closed loan.
- Title company offers gifts tied to referrals.
- MLO receives payment for sending business without performing services.

Correct response:

Decline, document if needed, and escalate to compliance.

## 6.6 Fraud for Housing vs Fraud for Profit

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Fraud for housing:

Borrower or participant misrepresents facts to obtain a home.

Fraud for profit:

Industry insiders or organized actors use mortgage transactions to extract money.

Both are serious.

Examples:

- False income.
- Fake employment.
- Undisclosed liabilities.
- Occupancy misrepresentation.
- Straw buyer.
- Inflated appraisal.
- Fake gift funds.
- Fictitious assets.
- Altered bank statements.
- Identity theft.

## 6.7 Occupancy Fraud

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Occupancy affects pricing, eligibility, risk, and underwriting.

Common issue:

Borrower claims primary residence but intends to rent the property or use it as investment.

Field red flags:

- Borrower lives far away with no clear relocation plan.
- Property is too small for stated family use.
- Borrower already owns nearby primary residence.
- Mailing address or insurance suggests different occupancy.

Correct response:

Ask clarifying questions, document facts, and escalate inconsistencies.

## 6.8 Income and Employment Fraud

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Common issues:

- Fake pay stubs.
- Inflated income.
- Undisclosed self-employment losses.
- Fake employer.
- Borrower claims overtime/bonus without history.
- Employer contact seems suspicious.

Correct response:

Do not coach the borrower. Do not submit documents you know or suspect are false without escalation.

## 6.9 Asset Fraud

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Common issues:

- Borrowed funds shown as savings.
- Fake gift.
- Cash deposits with no source.
- Business funds used without proper documentation.
- Altered bank statements.

Correct response:

Source funds properly. If the explanation does not make sense, escalate.

## 6.10 Appraisal and Valuation Pressure

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Improper conduct:

- Pressuring appraiser for target value.
- Withholding relevant property information.
- Threatening future business.
- Promising referrals for value.

Allowed conduct:

- Providing factual comparable sales through proper channels if company policy allows.
- Requesting reconsideration of value through proper process.
- Correcting factual errors.

Field rule:

Do not try to control the value. Follow the process.

## 6.11 Privacy, Data Security, and Communication

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Borrower information is sensitive.

Field habits:

- Use approved systems.
- Confirm identity before discussing details.
- Avoid sending documents through personal email or text.
- Lock screens.
- Do not leave paper files exposed.
- Do not discuss borrower files with unauthorized parties.

Exam trap:

Convenience is not a privacy exception.

## 6.12 Difficult Conversation Scripts

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### When a borrower wants to hide debt

"I cannot submit an application that leaves out known obligations. The file has to be accurate. We can review the debt and see what options are available, but we cannot hide it."

### When a borrower asks you to change income

"Income has to be documented and supported. I cannot change income to make the loan work. What I can do is review the correct documentation and see which programs fit."

### When a real estate agent demands a guarantee

"I cannot guarantee approval or closing until underwriting clears the file and all conditions are satisfied. I can give you accurate status updates and move quickly, but I will not overpromise."

### When a referral partner asks for a fee

"I cannot pay or receive anything of value for a settlement-service referral. If there is a compliant marketing arrangement, our compliance team has to review and approve it first."

### When appraisal value comes in low

"We cannot pressure the appraiser. If there are factual issues or supported comparable sales, we can follow the approved reconsideration process."

### When the borrower is angry about changed costs

"Let's walk through what changed, when it changed, and whether it affects tolerance or requires a cure. I want the numbers accurate and compliant before you make a decision."

## 6.13 How Veteran MLOs Manage the First 90 Days

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Daily habits:

- Review pipeline every morning.
- Touch active borrowers before they ask for updates.
- Confirm next step, owner, and deadline for each file.
- Keep notes clean.
- Ask underwriting/processing questions early.
- Study one guideline topic per day.
- Track referral sources, but do not let them control file integrity.

Weekly habits:

- Review declined or withdrawn files for lessons.
- Study one federal law concept.
- Review one closed file from lead to funding.
- Practice explaining rate, APR, cash to close, escrow, and mortgage insurance.
- Ask a veteran what almost went wrong in one file and how they caught it.

First-90-day target:

Become dependable before trying to become flashy.

## 6.14 Exam Strategy

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Read every question in this order:

1. Who is the actor?
2. What stage is the transaction in?
3. What law or rule is being tested?
4. What triggered the duty?
5. What is prohibited?

6. What protects the consumer and file?
7. What answer avoids guessing, hiding, steering, or delaying required action?

Common wrong-answer patterns:

- Benefits the MLO more than the borrower.
- Delays a required disclosure.
- Hides a material fact.
- Assumes undocumented facts.
- Allows unlicensed activity.
- Pays for referrals.
- Pressures an appraiser.
- Treats borrowers differently based on protected characteristics.
- Says "always" or "never" where exceptions matter.

## 6.15 Final 5-Day Mixed Drill

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Answer these from memory:

1. What two activities define an MLO?
2. What are the six TRID application items?
3. When is the Loan Estimate due?
4. When must the borrower receive the Closing Disclosure?
5. What three changes restart the Closing Disclosure waiting period?
6. What does RESPA Section 8 prohibit?
7. What are ECOA protected classes?
8. What is adverse action?
9. What is the right of rescission?
10. What is the difference between APR and interest rate?
11. What is permissible purpose under FCRA?
12. What does HMDA measure?
13. What does GLBA protect?
14. What is UDAAP?
15. What is steering?
16. What is redlining?
17. What is occupancy fraud?
18. What is a straw buyer?
19. What is LTV?
20. What is CLTV?
21. What is back-end DTI?
22. What is one discount point?
23. What is an escrow account?
24. What is FHA insurance?
25. What is VA guaranty?
26. What makes an ARM risky?
27. What is Texas SML?
28. What is Texas OCCOC?
29. Why is Texas homestead lending sensitive?
30. What should you do if a borrower gives you false documents?

## 6.16 Final Night Plan

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Do:

- Review missed flashcards.
- Review formulas.
- Review disclosure timing.
- Review ethics/fraud scenarios.
- Sleep.

Do not:

- Start new obscure topics.
- Cram random internet comments.



- Memorize unsupported tricks.
- Study until you are too tired to read carefully.

## 6.17 First-Week Field Readiness Checklist

Before taking live borrower calls alone, be able to explain:

- What you are licensed to do.
- What your company allows you to quote.
- How to disclose your NMLS ID.
- How to handle credit authorization.
- How to protect borrower documents.
- When an application is triggered.
- Who issues disclosures in your company process.
- How to escalate a compliance concern.
- How to hand off to processing.
- How to update borrowers without overpromising.

## 6.18 Final Mentor Note

The exam wants the safest legally correct answer. The field demands the same thing under pressure.

The new MLO who lasts is not the one who talks the fastest. It is the one who listens carefully, documents accurately, asks for help early, refuses dirty shortcuts, and learns the guidelines one clean file at a time.

# Trainee Workbook and Mentor Checkpoints

## A. Daily Scorecard

Use this after each training day.

| Day | Topic                          | Target                   | Actual | Weak Area | Corrective Action |
|-----|--------------------------------|--------------------------|--------|-----------|-------------------|
| 1   | Role, license, NMLS, exam map  | 85% recall               |        |           |                   |
| 2   | Federal laws and timing        | 85% recall               |        |           |                   |
| 3   | Products, Texas, state content | 85% recall               |        |           |                   |
| 4   | Workflow and calculations      | 90% calculation accuracy |        |           |                   |
| 5   | Ethics, fraud, mixed review    | 85% mixed drill          |        |           |                   |

Rule:

If you score under 80% in any area, do not simply reread. Write the missed concept in your own words, create one example, then answer three similar questions.

## B. Mentor Questions to Ask Each Day

### Day 1

- What mistake do new MLOs make before they understand licensing boundaries?
- What can I say to a borrower before an application, and what should I avoid?
- What company policies matter most before I touch a live file?

### Day 2

- Which disclosure timing mistake causes the most problems here?
- How do you handle a fee change without creating tolerance or trust issues?
- What advertising claims does compliance reject most often?

### Day 3

- When do you lean FHA instead of conventional?
- What makes a VA file strong or weak?
- What Texas-specific issue has delayed or killed deals here?

### Day 4

- What file quality issue frustrates processors and underwriters most?
- Which conditions could have been avoided with better intake?
- How do you explain cash to close clearly to a first-time buyer?

### Day 5

- What fraud red flag did you once miss or almost miss?
- When have you had to tell a referral partner no?
- What should I do in my first 90 days to become trusted internally?

## C. Role-Play Scenarios

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### Scenario 1 - The Impatient Agent

Prompt:

A real estate agent asks you to guarantee that the buyer can close in 14 days because the offer will not be accepted otherwise.

Correct response:

- Do not guarantee approval or closing.
- Explain what has been reviewed and what remains.
- Give a clear next-step timeline.
- Avoid statements that underwriting has not supported.

Practice line:

"I can move quickly and keep you updated, but I cannot guarantee closing until underwriting, appraisal, title, conditions, and closing requirements are complete."

### Scenario 2 - The Borrower With Undisclosed Debt

Prompt:

The borrower tells you about a private loan payment that does not show on the credit report and asks if it can be left off.

Correct response:

- Do not omit known debt.
- Explain that the application must be accurate.
- Determine how the debt should be documented and counted under guidelines.

Practice line:

"We have to include known obligations even if they do not show on the credit report. Let us document it correctly and see what options still work."

### Scenario 3 - Referral Fee Request

Prompt:

A referral partner asks for \$250 for every client they send you.

Correct response:

- Decline the referral fee.
- Explain RESPA concern.
- Escalate any proposed marketing arrangement to compliance.

Practice line:

"I cannot pay for referrals. If there is a compliant marketing arrangement, compliance has to review it before anything happens."

### Scenario 4 - Low Appraisal

Prompt:

The appraised value comes in low and the listing agent asks you to call the appraiser and "make them fix it."

Correct response:

- Do not pressure the appraiser.
- Use the company's reconsideration process if factual support exists.
- Communicate professionally.

Practice line:

"We cannot pressure value. If there are factual errors or supported comparable sales, we can submit them through the approved reconsideration process."

## Scenario 5 - Rate Shopping Borrower

Prompt:

The borrower says another lender quoted a lower rate but does not understand points, credits, APR, or cash to close.

Correct response:

- Compare full terms, not just rate.
- Explain points, lender credits, APR, payment, and cash to close.
- Avoid attacking the competitor.

Practice line:

"Let's compare rate, APR, points, lender credits, payment, and cash to close side by side. A lower rate is not always the lower-cost loan."

## D. Calculation Practice

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1. Purchase price is \$400,000 and loan amount is \$360,000. What is LTV?

Answer: 90%.

1. Home value is \$500,000. First lien is \$350,000 and second lien is \$50,000. What is CLTV?

Answer: 80%.

1. Gross monthly income is \$8,000. Proposed housing payment is \$2,400. What is front-end ratio?

Answer: 30%.

1. Gross monthly income is \$8,000. Housing payment is \$2,400 and other monthly debt is \$800. What is back-end DTI?

Answer: 40%.

1. Loan amount is \$275,000. One discount point equals what dollar amount?

Answer: \$2,750.

1. Principal is \$320,000, rate is 6.75%, and prepaid interest is due for 12 days. Approximate daily interest total?

Answer:  $\$320,000 \times 0.0675 / 365 \times 12 = \text{about } \$710.14$ .

## E. Exam Morning Checklist

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Before the exam:

- Know the testing appointment time and location or online testing requirements.
- Bring required identification.
- Do not bring prohibited materials.
- Eat something stable.
- Arrive early.
- Use scratch paper or testing tools for formulas if allowed.

During the exam:

- Read the last sentence first if the scenario is long.
- Identify the law or rule being tested.
- Eliminate answers that are illegal, deceptive, discriminatory, undocumented, or self-serving.
- Flag questions that take too long.
- Do not change answers unless you identify a specific reason.
- Treat every question as scored.

After the exam:

- If you pass, move immediately into licensing, sponsorship, and company onboarding tasks.
- If you fail, request the score report, identify weak categories, and rebuild around the official content outline.

## F. First 30 Days After Passing

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Focus areas:

- Learn company LOS and CRM.
- Learn pricing engine basics.
- Learn disclosure workflow.
- Learn who owns each step after application.
- Shadow top producers and processors.
- Build referral conversations around service, not illegal incentives.
- Practice clean borrower updates.
- Study one guideline topic per day.
- Keep a personal mistake log and fix patterns quickly.

Professional standard:

Your first 30 days should prove that you are coachable, careful, and consistent.